

Finally, a number of studies have shown that younger people are less eager to drive than previous generations because of social, cultural, economic, and environmental reasons.⁶⁷ If you are one of these people, you do not need to feel forced into buying a car. On the other hand, you still need to exercise the same financial discipline and research to ensure that you are not overspending on your transportation costs.

Buying Versus Renting a Home

Buying a home is probably going to be the most expensive purchase of your life. It is important to understand the process and determine whether or not buying a home is even in your best financial interest. As you get older, you may have people telling you that renting a home or apartment is “throwing money away.” In the past, this belief may have been valid; houses used to be more affordable, and historically they have been considered a solid financial investment. Today, though, renting may be a more practical option for many people.

However, there are also plenty of good reasons to buy a home instead of renting one. One of the best reasons is that when you purchase a home, you build equity with each payment you make. **Equity** is the amount of the home you have paid for, minus the amount of money you still owe. For example, if you find a super-cheap home that costs \$100,000 and you put down \$20,000 as a down payment, you have 20% equity at that point,

67 Edie Meade, “American Teens Are Driving Less, and the Reasons Are More Than Economic,” *The Startup*, Medium, January 13, 2020, <https://medium.com/swlh/american-teens-are-driving-less-and-the-reasons-are-more-than-economic-4cf6217375a1>.